May/June 2019 Paper 02

Question 1

1(a) Stakeholders

(i) Define the term 'stakeholder' as it relates to a business. (2 marks); (ii) Identify TWO stakeholders who are involved in a business. (2 marks)

(a)(i) Definition of stakeholder

A stakeholder is any person, group or organisation that has an interest in or is affected by the activities and decisions of a business. Stakeholders can be inside the business, such as the owners and employees, or outside the business, such as customers, suppliers, the government and the community in which the business operates.

(a)(ii) TWO stakeholders involved in a business

- Owners or shareholders, who provide the capital used to set up and run the business.
- Employees, who provide their labour to the business in exchange for wages or salaries.

1(b) Functions of stakeholders

Outline ONE function of EACH of the stakeholders identified in (a)(ii). (4 marks)

Function of owners or shareholders

The owners or shareholders provide the capital that the business needs to start up and to keep running. They invest their money in the business by buying shares or putting in personal savings, and they take on the risk of losing their money if the business fails. In return, they expect to share in the profits of the business through dividends or drawings.

Function of employees

The employees carry out the day-to-day work of the business, such as making the products, serving customers, keeping records and supervising other workers. They use their skills, time and effort to produce the goods and services that the business sells, and in return they receive wages or salaries from the business.

1(c) Activities in functional areas

Describe ONE activity that may be carried out in EACH of the following functional areas of a business. (i) Marketing; (ii) Finance; (iii) Personnel/human resources (HR). (6 marks)

(c)(i) Marketing

One activity carried out in the marketing department is market research, in which the firm collects information about customers, competitors and trends in the market. This may involve handing out questionnaires, interviewing shoppers or studying sales figures. The information helps the business to decide what products to offer, what price to charge and how to promote the products.

(c)(ii) Finance

One activity carried out in the finance department is preparing budgets and financial statements. The

finance staff record all income and expenses, prepare cash flow forecasts and produce the income statement and balance sheet at the end of the year. This information is used by managers to make decisions and is also reported to owners, lenders and the government.

(c)(iii) Personnel/human resources (HR)

One activity carried out in the human resources department is the recruitment and selection of new staff. HR officers prepare job descriptions, place advertisements, receive applications, interview candidates and choose the most suitable persons for the available jobs. They also handle training, payroll and employee welfare matters.

1(d) Legal or ethical principles

Explain TWO legal or ethical principles that business owners should adopt in the establishment and operation of a business. In your explanation, include relevant examples of EACH priniciple. (6 marks)

Honesty in dealing with customers

Business owners should be truthful in their advertising, pricing and labelling so that customers are not misled. For example, a supermarket owner should not advertise a product at a special price and then charge a higher price at the cash register, and a food business should not put 'sugar free' on a label if the product actually contains sugar. Acting honestly builds trust, attracts repeat customers and avoids legal action under consumer protection laws.

Paying taxes and obeying business laws

Business owners should register the business properly and pay all required taxes, such as income tax, business tax, value added tax and National Insurance contributions for staff. For example, a small restaurant must keep proper records of sales and pay over the value added tax it collects from customers to the tax authority on time. Following the law in this way avoids fines and court action and helps the country to provide public services such as schools, roads and hospitals.

Question 2

2(a) Functions of management

(i) State TWO functions of management in a business organization. (2 marks); (ii) Describe EACH function stated in (a)(i). (4 marks)

(a)(i) TWO functions of management

- Planning.
- Organising.

(a)(ii) Description of each function

Planning

Planning is the function of management in which the managers decide on the goals of the business and the steps that will be taken to achieve those goals. It involves looking ahead, deciding what is to be done, when it should be done, who will do it and what resources will be needed. Plans are made for the long term, the medium term and the short term, and they give the business a clear direction.

Organising

Organising is the function of management in which the managers arrange the people, money, materials and equipment of the business in the best way to carry out the plans. It includes setting up departments, giving jobs to different workers, deciding who reports to whom and making sure that everyone knows their duties. Good organising avoids confusion and waste and helps the business to run smoothly.

2(b) Responsibilities of management

State TWO responsibilities of management to EACH of the following groups. (i) Employees; (ii) Government. (4 marks)

(b)(i) Responsibilities to employees

- To pay fair wages and salaries on time and to provide agreed benefits such as leave and National Insurance contributions.
- To provide a safe working environment with proper training, equipment and protection against accidents and illness.

(b)(ii) Responsibilities to government

- To pay all taxes due, including income tax, company tax and value added tax, on time and in full.
- To obey the laws of the country, including business registration, employment laws and environmental rules.

2(c) Teamwork

(i) Define the term 'teamwork'. (2 marks); (ii) State ONE advantage and ONE disadvantage of teamwork within an organization. (2 marks)

(c)(i) Definition of teamwork

Teamwork is the way in which a group of workers cooperate and combine their skills, ideas and effort to achieve a common goal of the business. In a team, members support each other, share the work fairly and take joint responsibility for the success of the task.

(c)(ii) ONE advantage and ONE disadvantage of teamwork

Advantage

Teamwork brings together different skills and ideas, so problems are solved more quickly and the quality of the work is usually higher than what one person could do alone.

Disadvantage

When a team has weak members or members who do not get along, decisions can be slow and conflicts can arise, which may delay the work and lower the morale of the rest of the team.

2(d) Improving communication at ABC Plastic Co. Ltd

For some time now, there has been a breakdown in communication between the managers and employees of ABC Plastic Co. Ltd. Explain TWO strategies the management of ABC Plastic Co. Ltd. could implement to improve communication within the organization. (6 marks)

Hold regular staff meetings and use notice boards

Management can set a fixed day each week or month for short meetings between managers and workers in each department. At these meetings, managers can explain the goals and any new rules of the business and workers can ask questions and give feedback. A notice board near the entrance can also be used to display memos, safety reminders and news, so every worker has the same information at the same time. This face-to-face contact helps to clear up misunderstandings and builds trust.

Set up an open-door policy and a suggestion box

Management can encourage workers to come to them at any time with concerns, and a clearly placed suggestion box, supported by an email address, allows workers who are shy or who work on different shifts to share their ideas without fear. The managers should respond to suggestions promptly, even if some of them are rejected, so that workers see that their voice matters. This two-way flow of information greatly reduces the breakdown in communication that has been happening at ABC Plastic Co. Ltd.

Question 3

3(a) Production and factors of production

(i) Define the term 'production'. (2 marks); (ii) Identify TWO factors of production, other than capital, used in the manufacture of goods and provision of services. (2 marks)

(a)(i) Definition of production

Production is the creation of goods and the provision of services to satisfy human wants and needs. It involves combining the factors of production - land, labour, capital and entrepreneurship - to produce useful output that customers are willing to buy.

(a)(ii) TWO factors of production other than capital

- Land - all the natural resources used in production, such as soil, minerals, forests and water.
- Labour - the human effort, both physical and mental, used to produce goods and services.

3(b) Capital

(i) Define the term 'capital'. (2 marks); (ii) Differentiate between 'fixed capital' and 'working capital' and give an example of EACH type. (4 marks)

(b)(i) Definition of capital

Capital refers to all the man-made resources, including money and physical assets, that a business uses in the production of goods and services. It is the wealth that the owners invest in the business in order to produce other goods or to earn an income.

(b)(ii) Fixed capital vs working capital

Fixed capital

Fixed capital refers to the long-term assets of the business that are bought and used for many years and are not turned into cash through normal trading. An example of fixed capital is the factory building or a delivery truck owned by the business.

Working capital

Working capital refers to the short-term resources used in the day-to-day running of the business, calculated as current assets minus current liabilities. An example of working capital is the cash held in the till or the stock of raw materials waiting to be used in production.

3(c) Benefits of growth of a company

Outline ONE benefit of the growth of a company to EACH of the following groups. (i) Customers; (ii) Shareholders. (4 marks)

(c)(i) Benefit to customers

When a company grows, it can produce on a larger scale and reduce its average cost per unit. These savings can be passed on to customers in the form of lower prices and a wider range of products to choose from. Customers also tend to receive better service because the larger company can afford to invest in better technology and more trained staff.

(c)(ii) Benefit to shareholders

As the company grows, its profits usually rise, which means that shareholders receive higher dividends on their shares. The value of the shares themselves may also increase, so shareholders gain a capital profit if they decide to sell their shares. Growth therefore raises the wealth and income of the shareholders.

3(d) Advantages of increased productivity

Explain TWO ways in which increased productivity may be advantageous to a business. (6 marks)

Lower cost per unit and higher profits

When productivity rises, the same workers and machines produce more output in the same amount of time. The fixed costs of the business, such as rent and management salaries, are spread over a larger number of units, which lowers the average cost of producing each item. The business can then either keep the selling price the same and earn a bigger profit on each unit, or lower the price to attract more customers and increase total profit through higher sales.

Better wages, better quality and a stronger competitive position

Higher productivity makes the business more efficient, so it can afford to pay higher wages and bonuses to workers without raising prices. Better-paid and better-trained staff usually produce goods of higher and more consistent quality. With lower costs, higher quality and more reliable delivery, the business becomes more competitive than rivals, which helps it to win and keep customers both in the local market and in export markets.

Question 4

4(a) Functions of consumer organizations

Outline TWO functions of consumer organizations. (4 marks)

Educating consumers about their rights

Consumer organisations such as the Consumers' Association inform shoppers about their legal rights, the meaning of warranties and how to spot unfair trading practices. They publish leaflets, run radio and

television programmes and hold public meetings, so that consumers know what to expect from sellers and how to make wise buying decisions.

Investigating complaints and pressuring businesses

Consumer organisations receive and look into complaints from shoppers about faulty goods, poor service or false advertising. They take up these matters with the businesses involved, and where the issue is not settled, they may report the business to the government, take legal action or campaign in the media. This puts pressure on businesses to treat customers fairly.

4(b) Benefits of good customer service

Outline TWO benefits of good customer service. (4 marks)

Builds customer loyalty and repeat business

When customers are treated well, they enjoy the shopping experience and feel valued by the business. As a result they tend to keep coming back to the same business instead of trying competitors, and they also tell their family and friends, which brings in new customers through word of mouth. This repeat business and free advertising raise the sales and profits of the firm.

Improves the reputation and image of the business

Good customer service builds a strong, positive reputation for the business in the community and on social media. A business that is known for treating customers fairly, handling complaints quickly and going the extra mile attracts more customers, finds it easier to introduce new products and is more likely to be chosen for partnerships and large contracts.

4(c) Forms of customer service

Describe EACH of the following forms of customer service. (i) Warranties; (ii) Toll free numbers/toll free call centres; (iii) Suggestion boxes. (6 marks)

(c)(i) Warranties

A warranty is a written promise from the seller or manufacturer to repair or replace a product within a stated period if it develops a fault that is not the customer's fault. By offering a warranty, the business gives customers confidence that the product is reliable and that they will not lose their money if something goes wrong shortly after purchase.

(c)(ii) Toll free numbers / toll free call centres

A toll free number is a telephone number that customers can call without paying for the call, with the cost being met by the business. Customers use these numbers to ask questions about products, place orders or make complaints. Trained customer service agents at the call centre help to solve problems quickly, which improves customer satisfaction.

(c)(iii) Suggestion boxes

A suggestion box is a sealed container, often placed near the entrance or cashier, in which customers can drop written comments, complaints and ideas for the business. Suggestion boxes give shy or busy customers an easy and private way to share their views, and the business can use the suggestions to improve its products, layout and service.

4(d) Benefits of trademarks

A trademark is a firm's brand that allows it certain benefits in the marketplace. Explain TWO ways in which trademarks are beneficial in the conduct of a business. (6 marks)

Protection from copying and legal action against imitators

Once a trademark is registered, the law gives the firm the exclusive right to use that name, symbol or design for the products covered. If another business tries to copy the trademark to confuse customers or steal sales, the owner of the trademark can take the imitator to court and claim damages. This legal protection guards the firm's hard-earned reputation and keeps the value of its brand.

Easy recognition and the ability to charge a higher price

A clear, well-known trademark helps customers to recognise the firm's products quickly on the shelf and tells them what to expect in terms of quality. Loyal customers come to trust the trademark and will look for it again on future visits. This trust allows the firm to charge a higher price than for unbranded products, because customers feel that the branded product is worth the extra money.

Question 5

5(a) Definition of ICT

Define the term 'information and communications technology' (ICT). (2 marks)

Information and communications technology (ICT) refers to the equipment, software and networks that are used to create, store, send and receive information electronically. It includes computers, smartphones, the internet, email, video conferencing tools and a wide range of business software, all of which help people and businesses to share information quickly across short or long distances.

5(b) Computer-aided design (CAD)

Describe ONE way in which computer-aided design (CAD) is used in a business organization. (2 marks)

Computer-aided design (CAD) is used by businesses to create accurate drawings and three-dimensional models of products before they are actually produced. For example, an engineering firm uses CAD software to design a new piece of furniture or a building, allowing the designer to test different sizes, materials and colours on screen and to make changes quickly. This saves time and money compared with drawing by hand and helps the firm to produce a better final product.

5(c) ATMs / ABMs

Outline THREE ways in which the use of automatic teller machines (ATMs) or automated banking machines (ABMs) could assist a business. (6 marks)

Round-the-clock access to cash and banking

ATMs allow business owners and employees to deposit and withdraw cash and to check account balances 24 hours a day, including weekends and public holidays. This means that the business does not have to plan its activities around bank opening hours and can deal with emergency cash needs at any time.

Faster service and shorter queues for customers

When customers can use ATMs to pay bills, transfer money and buy phone credit, they spend less time waiting in line at the bank. This is helpful for a business that needs to send staff to deposit takings, because the worker can complete the transaction quickly and return to other duties, which saves time and labour.

Reduced cost of handling cash and improved security

Because routine cash transactions are done through machines, the business does not need to keep large amounts of cash on the premises and does not have to make as many trips to the bank. This lowers the risk of theft and the cost of paying staff to handle cash, and it provides a printed record of every transaction that can be used in the accounts.

5(d) E-commerce

Outline TWO ways in which electronic commerce (e-commerce) can improve the performance of a business. (4 marks)

Wider market and increased sales

Through an e-commerce website or online store, the business can sell to customers anywhere in the country and even overseas, twenty four hours a day. The business no longer depends only on people who walk into the shop, which greatly increases the size of the potential market and lifts total sales.

Lower running costs and faster transactions

An e-commerce business saves on the cost of large display shops, sales staff and printed catalogues, because much of the work is done automatically by the website. Orders are received, payments are processed and confirmation emails are sent within minutes, so customers are served faster and the firm can handle a much larger number of transactions with the same staff.

5(e) Ethical use of ICT

Explain TWO ways in which businesses can demonstrate the ethical use of ICT in the conduct of their operations. (6 marks)

Protecting customer data and privacy

Businesses collect a great deal of personal information from customers, such as names, addresses, identification numbers and credit card details. Ethical use of ICT means that the business stores this information securely with passwords and encryption, only uses it for the agreed purpose and does not sell or share it with other parties without the customer's permission. This protects customers from fraud and identity theft and builds trust in the business.

Honest use of email, social media and software

Ethical businesses do not send spam, do not post misleading reviews or fake advertisements on social media and do not use pirated or unlicensed software. They give credit to authors when they share content online and they make sure that all software, music and images used on the company's website are properly licensed. This avoids legal trouble, supports fair competition and shows respect for other people's work.